AAVAS Financiers

Q4FY22 Result Update | BFSI

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Equity Research Desk

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Strong Business with Numerous Growth Drivers

Aavas Financiers has reported a good set of numbers for the quarter ended March 31, 2022. The company's performance in terms of profitability were better than expected, though operating performance was adversely impacted by higher operating expenses. Asset quality improved during the quarter, with GNPA at 0.99% (vs 1.72% QoQ) & NNPA at 0.77% (vs 1.33% QoQ).

- NII came in at INR 1856 Mn, + 16.6% QoQ / + 41.8% YoY.
- Net Income came in at INR 2411 Mn, + 11.5% QoQ / + 37.7% YoY.
- Opex came in at INR 1054 Mn, + 18% QoQ / + 44.1% YoY.
- PPOP came in at INR 1357 Mn, + 7% QoQ / + 33.1% YoY.
- Provisions came in at (INR -104 Mn), INR 113 Mn QoQ / INR 70 Mn YoY.
- PAT came in at INR 1157 Mn, + 29.8% QoQ / + 32% YoY.
- EPS stood at INR 14.7 vs INR 11.3 / INR 11.2 in Q3FY22 / Q4FY21 respectively.

Valuation and outlook

We believe Aavas Financiers has all the right ingredients, which include conservative management, well-capitalized balance sheet, best-in-class asset quality, and superior return ratios. Besides, focusing on low ticket housing loans, on less competitive areas (semi-urban and rural) and serving underserved new-to-credit self-employed customers made it stand out vs large HFCs, justifying premium valuation. At CMP, the stock trades at 5.3x its FY23E ABV and 4.6x its FY24E ABV. We assign a 'Buy on Dips' rating on Aavas Financiers with a price target of Rs 2,538, valuing the stock at 5.6x FY24E standalone P/ABV.

Financial Summary

Y/E Mar (Rs Mn)	FY21	FY22	FY23E	FY24E
NII	5182	6513	7905	9656
Net profit	2895	3568	4109	4991
Networth	24014	28086	32195	37186
EPS (Rs)	37	45	52	63
P/E (x)	59	48	42	34
P/Adj BV (x)	7.1	6.1	5.3	4.6
RoA (%)	3.5	3.6	3.5	3.5
RoE (%)	12.9	13.7	13.6	14.4

Source: Dalal & Broacha Research, Company

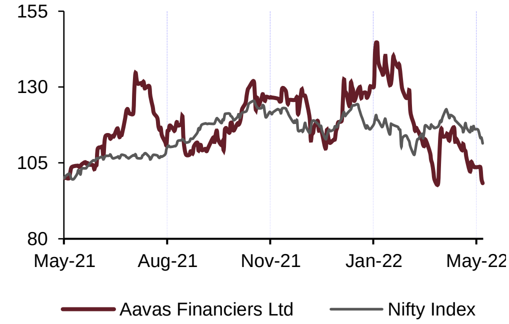
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	2,538	17

Market data

Current price	**Rs**	**2,172**
Market Cap (Rs.Bn)	(Rs Bn)	171
Market Cap (US$ Mn)	(US$ Mn)	2,248
Face Value	Rs	10
52 Weeks High/Low	Rs	3340 / 2110.1
Average Daily Volume	('000)	185
BSE Code		541988
Bloomberg		AAVAS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	39.2	39.2
Public	60.8	60.8
Total	**100**	**100**

Source: Bloomberg

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Financial Highlights

- Aavas Financiers' AUM was up by 20% YoY and 7% QoQ to Rs 113.50 Bn, supported by disbursement growth of 27% YoY and 35% QoQ at Rs 12.87 Bn. AUM mix to remain broadly stable, with the Home Loans and Other Mortgage Loans stands at 72:28 (vs 73:27), while occupation wise the mix between salaried and self-employed stands at 40:60. With a focus on LIG/MIG segment mainly self-employed in semi-urban/ rural locations, we believe the company can consistently deliver growth above industry average for the next several years.
- The company's operational expenses increased by 44% YoY/18% QoQ to Rs 10.54 Bn, leading to a cost-to-income ratio of 43.7%, up by 194 bps YoY and 239 bps QoQ. Its 100% in-house sourcing model as well as investment in business expansion and technology initiatives leads to higher operating cost. As the company gains scale, cost-to-income ratio is likely to improve over the period of time.
- Spreads for the quarter stood at 5.77% vs 5.76% in Q3FY22 and in Q4FY21. This came on the back of declining cost of funds. On a reported basis, funding costs declined from 7.03% in Q3FY22 to 6.88% in Q4FY22, while yields compressed by 14 bps QoQ to 12.65%. Incremental COF for FY22 stood at 6.04% compared to 5.91% for 9MFY22. In the borrowings mix, 82.3% came from Term Loans, Assignment and NHB Refinancing, while remaining 17.7% of came from debt capital market (of which 79.4% is from development finance institutions like IFC, CDC & ADB), with no Commercial Papers exposure.
- With capital adequacy ratio of 51.41% compared to 15% regulatory threshold, the company is well positioned to grow without the need to raise capital over the medium-term. It has sufficient headroom for debt capital to fund its planned growth and will likely to tie up additional funds at competitive rates accordingly.
- Portfolio quality improved during the quarter, with DPD 1+ book declined sharply to 4.47%vs 6.45% QoQ. It is testament to the company's ability to improve asset quality through continues focus & efforts on collections. Segment-wise, housing Gross Stage -3 ratio stood at 0.96% in Q4FY22 vs 1.7% in Q3FY22 and non-housing Gross Stage -3 ratio stood at 1.11% in Q4FY22 vs 1.77% in Q3FY22. During the pandemic, the company's asset quality remained stable due to its in-house operating model and focus on risk-adjusted asset pricing backed by disciplined lending practices.
- Overall stock of ECL provisions declined by 19% QoQ to ~Rs 643 Mn, covering 71bps of gross loan assets (93 bps in Q3FY22). Total restructured loans stood at Rs1361Mn. With subsiding covid risks and the economy is getting back to normalcy, we believe the current ECL provisions are adequate for now.
- During Q4 FY21, there was a tax benefit on share-based payment of Rs 126.8 Mn adjusted in Profit & Loss Account. Whereas for Q4 FY22, such tax benefit of Rs 214.1 Mn was directly transferred to Retained Earnings (Equity). So, the like-for-like YoY for PAT & Total Comprehensive Income is 54.4% & 54.1% respectively.

Quarterly Financials

Rs Mn	Q4FY22	Q4FY21	Y-o-Y	Q3FY22	Q-o-Q
Interest income	3097	2470	25%	2858	8%
Interest expense	1242	1162	7%	1267	-2%
Net interest income	**1856**	**1308**	**42%**	**1592**	**17%**
Other Income	555	443	25%	570	-3%
Net Income	**2411**	**1751**	**38%**	**2162**	**12%**
Operating expense	1054	732	44%	894	18%
PPOP	**1357**	**1019**	**33%**	**1268**	**7%**
Provisions	-104	70	-250%	113	-192%
PBT	**1461**	**950**	**54%**	**1155**	**26%**
Tax	304	74	313%	264	15%
PAT	**1157**	**876**	**32%**	**891**	**30%**
Loan Book (Rs Mn)					
Disbursements	12872	10155	27%	9509	35%
Loan Book	90534	75233	20%	84775	7%
AuM	**113502**	**94543**	20%	**106126**	7%
Loan Mix (%)					
Occupation Category					
Salaried	40.0%	39.6%	40 bps	39.7%	30 bps
Self-Employed	60.0%	60.4%	-40 bps	60.3%	-30 bps
Product Category					
Home Loan	72.1%	73.5%	-140 bps	72%	50 bps
Other Mortgage Loan	27.9%	26.5%	140 bps	28%	-50 bps
Asset Quality (%)					
Gross NPAs	0.99%	0.98%	1 bps	1.72%	-73 bps
Net NPAs	0.77%	0.71%	6 bps	1.33%	-56 bps
PCR	23.1%	27.2%	-419 bps	23.4%	-31 bps
1+DPD	4.5%	6.4%	-190 bps	6.5%	-198 bps
Yield, Cost of funds & Spreads (%)					
Yields	12.7%	13.2%	-51 bps	12.8%	-14 bps
Cost of Borrowing	6.9%	7.4%	-52 bps	7.0%	-15 bps
Spreads	5.8%	5.8%	1 bps	5.8%	1 bps
NIM (%)	8.2%	7.7%	52 bps	8.1%	12 bps
Efficiency Ratio (%)					
Cost-to-income	43.7%	41.8%	194 bps	41.3%	239 bps
Opex to AuM*	3.7%	3.1%	62 bps	3.4%	35 bps

Source: Company, Dalal&Broacha Research / * Annualized

Financials

P&L (Rs Mn)	FY21	FY22	FY23	FY24
Interest income	9764	11288	14054	17416
Interest expense	4582	4775	6149	7759
NII	**5182**	**6513**	**7905**	**9656**
Non-interest income	1289	1768	2088	2442
Net revenues	**6471**	**8281**	**9994**	**12098**
Operating expenses	2,566	3,506	4,178	4,945
PPOP	**3905**	**4775**	**5816**	**7153**
Provisions	371	226	323	480
PBT	**3533**	**4549**	**5493**	**6673**
Tax	638	981	1,384	1,682
PAT	**2895**	**3568**	**4109**	**4991**
Balance sheet	**FY21**	**FY22**	**FY23**	**FY24**
Share capital	785	789	789	789
Reserves & surplus	23229	27297	31406	36397
Net worth	**24014**	**28086**	**32195**	**37186**
Borrowings	62457	78727	93020	115051
Other liability	3130	3391	2755	3115
Total liabilities	**89600**	**110204**	**127970**	**155353**
Fixed assets	2260	2616	3238	3920
Investments	45	675	675	675
Loans	75233	90534	112190	139850
Cash	11210	15302	10817	9760
Other assets	852	1076	1050	1148
Total assets	**89600**	**110204**	**127970**	**155353**

Ratios	FY21	FY22	FY23	FY24
Growth (%)				
NII	20	26	21	22
PPOP	23	22	22	23
PAT	16	23	15	21
Advances	22	20	24	25
Spread (%)				
Yield on Funds	13.1	12.9	13.0	13.3
Cost of Funds	8.0	6.8	7.2	7.5
Spread	5.2	6.1	5.8	5.8
NIM	6.5	6.7	6.9	7.0
Asset quality (%)				
Gross NPAs	1.0	1.0	0.9	0.8
Net NPAs	0.7	0.8	0.7	0.6
Provisions	27	23	23	23
Return ratios (%)				
RoE	12.9	13.7	13.6	14.4
RoA	3.5	3.6	3.5	3.5
Per share (Rs)				
EPS	37.0	45.4	52.1	63.2
BV	307	358	408	471
ABV	306	357	407	470
Valuation (x)				
P/E	59	48	42	34
P/BV	7.1	6.1	5.3	4.6
P/ABV	7.1	6.1	5.3	4.6

Source: Dalal & Broacha Research, Company

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